Chapter V - Microfinance Loan

51. Microfinance loan is a collateral-free loan given to a household having annual household income up to ₹3,00,000. For this purpose, the household shall mean an individual family unit, i.e., husband, wife and their unmarried children. Also, all collateral-free loans, irrespective of end use and mode of application / processing / disbursal (either through physical or digital channels), provided to low-income households, i.e., households having annual income up to ₹3,00,000, shall be considered as microfinance loans. Further, to ensure collateral-free nature of the microfinance loan, the loan shall not be linked with a lien on the deposit account of the borrower or backed by hypothecation of any security.

A. Assessment of Household Income

52. The NBFC shall put in place a board-approved policy for assessment of household income. Indicative methodology for assessment of household income is outlined below:

(1) For undertaking the income assessment of a low-income household, information related to following parameters may be captured by the lender:

(i) Parameters to capture household profile

(a) Composition of the household

i. Number of earning members

ii. Number of non-earning members

(b) Type of accommodation (owned / rented, etc.)

(c) Availability of basic amenities (electricity, water, toilet, sewage, LPG connection, etc.)

(d) Availability of other assets (land, livestock, vehicle, furniture, smartphone, electronic items, etc.)

(ii) Parameters to capture household income

(a) Primary source of income

i. Sector of work (Agriculture & allied activities, trading, manufacturing, services, etc.)

ii. Nature of work (Self-employed or salaried, regular or seasonal, etc.)
iii. Frequency of income (daily / weekly / monthly)
iv. Months/ days of employment over last one year
v. Self-reported monthly income
vi. Average monthly income (to be derived from (iv) & (v) above)

(b) Other sources of income
i. Remittance
ii. Rent / Lease
iii. Pension
iv. Government transfer
v. Scholarship
vi. Others (specify details)

(c) The income assessment as above may be carried out for all earning members with respect to all sources (primary or secondary) of income. While assessing income of all members from all sources, it may be ensured that there is no double counting of income such as counting of salary income of one migrant member also as remittance income for the household.

(d) While the income computation may be done on a monthly basis, the income assessment for all members and sources may be carried out over a period of minimum one year to ascertain the stability of the household income.

(iii) Parameters to capture household expenses

(a) Regular monthly expenses (food, utilities, transport, house / shop rent, clothing, regular medical costs, school / college fees, etc.)

(b) Irregular expenses over last one year (medical expenses, house renovation, purchase of household goods, functions, etc.)

(2) Self-reported income at 1(ii) above may be corroborated with the profile of household at 1(i) and household expenses at 1(iii). Further, household income

may also be verified from other sources (bank account statements of the borrowers, group members, other references in the vicinity, etc.).

53. Self-regulatory organisations (SROs) and other associations / agencies may also develop a common framework based on the indicative methodology. The NBFC may adopt / modify this framework suitably as per their requirements with approval of their boards.

54. The NBFC shall mandatorily submit information regarding household income to the Credit Information Companies (CICs). Reasons for any divergence between the already reported household income and assessed household income shall be specifically ascertained from the borrower/s before updating the assessed household income with CICs.

B. Limit on Loan Repayment Obligations of a Household

55. The NBFC shall have a board-approved policy regarding the limit on the outflows on account of repayment of monthly loan obligations of a household as a percentage of the monthly household income. This shall be subject to a limit of maximum 50 per cent of the monthly household income.

    Explanation: Any future expected income from the asset/ activity financed by a microfinance loan shall not be included in the household income for the purpose of calculating the indebtedness of the household.

56. The computation of loan repayment obligations shall take into account all outstanding loans (collateral-free microfinance loans as well as any other type of collateralized loans) of the household. The outflows capped at 50 per cent of the monthly household income shall include repayments (including both principal as well as interest component) towards all existing loans as well as the loan under consideration.

57. Existing loans, for which outflows on account of repayment of monthly loan obligations of a household as a percentage of the monthly household income exceed the limit of 50 per cent, shall be allowed to mature. However, in such cases, no new loans shall be provided to these households till the prescribed limit of 50 per cent is complied with.

58. The NBFC shall provide timely and accurate data to the CICs and use the data available with them to ensure compliance with the level of indebtedness. Besides, the NBFC shall also ascertain the same from other sources such as declaration from the borrowers, their bank account statements and local enquiries.

C. Flexibility of repayment periodicity

59. The NBFC shall have a board-approved policy to provide the flexibility of repayment periodicity on microfinance loans as per borrowers' requirement.

D. Pricing of Microfinance Loans

60. An NBFC shall put in place a Board-approved policy regarding pricing of microfinance loans which shall, *inter alia*, cover the following:

    (1) A well-documented interest rate model / approach for arriving at the all-nclusive interest rate.
    (2) Delineation of the components of the interest rate such as cost of funds, risk premium and margin, etc. in terms of the quantum of each component based on objective parameters.
    (3) The range of spread of each component for a given category of borrowers.
    (4) A ceiling on the interest rate and all other charges applicable to the microfinance loans.

61. Interest rates and other charges / fees on microfinance loans should not be usurious. These shall be subjected to supervisory scrutiny by the Reserve Bank.

E. Other aspects related to microfinance loans

62. The NBFC providing microfinance loans shall also refer to:

    (1) Reserve Bank of India (Non-Banking Financial Companies – Responsible Business Conduct) Directions, 2025 for instructions related to Key Fact Statement and guidelines on conduct towards microfinance borrowers.
    (2) Reserve Bank of India (Non-Banking Financial Companies – Managing Risks in Outsourcing) Directions, 2025 for instructions pertaining to responsibilities for outsourced activities.

Chapter VI - Project Finance

A. Introduction

63. The Directions is this Chapter provide a harmonised framework for financing of projects in infrastructure and non-infrastructure (including commercial real estate & commercial real estate- residential housing) sectors by the NBFC.

64. The directions contained in this Chapter shall not apply to projects where financial closure has been achieved as on October 1, 2025 (the 'Effective Date' for this Chapter) for which the prudential guidelines on project finance prevailing before October 1, 2025, which otherwise shall be treated as repealed, shall apply**.** However, any resolution of a fresh credit event and / or change in material terms and conditions in the loan contract in such projects, subsequent to the effective date, shall be as per the guidelines under the Reserve Bank of India (Non-Banking Financial Companies – Resolution of Stressed Assets) Directions, 2025.

B. General Guidelines

B.1 Phases of Projects

65. For the purpose of application of prudential guidelines contained in this Chapter, Projects shall be broadly divided into three phases namely:

    (1) Design phase – This is the first phase which starts with the genesis of the project and includes, *inter-alia*, designing, planning, obtaining all applicable clearances / approvals till its financial closure.

    (2) Construction phase – This is the second phase which begins after the financial closure and ends on the day before the actual DCCO.

    (3) Operational Phase – This is the last phase which starts with commencement of commercial operation by the project on the day of the actual DCCO and ends with full repayment of the project finance exposure.

B.2 Prudential Conditions Related to Sanction

66. The credit policy of an NBFC shall incorporate suitable clauses for sanction of project finance exposures, taking into account inter alia the provisions under these Directions.

67. For all projects financed by a lender, it shall be ensured that:

(1) Financial closure has been achieved and original DCCO is clearly spelt out and documented prior to disbursement of funds.

(2) The project specific disbursement schedule vis-à-vis stage of completion of the project is included in the loan agreement.

(3) The post DCCO repayment schedule has been realistically designed to factor in the initial cash flows.

Provided that, the original or revised repayment tenor, including the moratorium period, if any, shall not exceed 85 per cent of the economic life of a project.

68. For a given project, original / extended / actual DCCO, as the case may be, shall be same across all lenders to the project.

69. In under-construction projects where the aggregate exposure of the lenders is up to ₹1,500 crores, no individual lender shall have an exposure which is less than 10 per cent of the aggregate exposure. For projects where aggregate exposure of all lenders is more than ₹1,500 crores, the exposure floor for an individual lender shall be 5 per cent or ₹150 crores, whichever is higher.

Provided that, the above minimum exposure requirements shall not apply post-actual DCCO and lenders may freely acquire from or sell exposures to other lenders, in compliance with guidelines contained in the Reserve Bank of India (Non-Banking Financial Companies – Transfer and Distribution of Credit Risk) Directions, 2025. Prior to actual DCCO, lenders may acquire from or sell exposures to other lenders under a syndication arrangement (as specified under the Reserve Bank of India (Non-Banking Financial Companies – Transfer and Distribution of Credit Risk) Directions, 2025), provided the share of individual lenders is in adherence to the above limits.

70. An NBFC shall ensure that all applicable approvals / clearances for implementing / constructing the project are obtained before financial closure. An indicative list of such pre-requisite approvals / clearances includes environmental clearance, legal clearance, regulatory clearances, etc., as applicable to the project.

71. Approvals / clearances which are contingent upon achievement of certain milestones in terms of project completion shall be deemed to be applicable only when such milestones are achieved. For example, consent to operate a boiler can only be applied for after the construction of a boiler. Hence, the same shall not be treated as an applicable mandatory pre-requisite at the time of financial closure.

C. Prudential Conditions Related to Disbursement and Monitoring

72. An NBFC shall ensure availability of sufficient land / right of way for all projects before disbursement of funds, subject to the following minimum requirements:

    (1) For infrastructure projects under PPP model – 50 per cent
    (2) For all other projects (non-PPP infrastructure, and non-infrastructure including CRE & CRE-RH) – 75 per cent
    (3) For transmission line projects – as decided by a NBFC

73. In case of infrastructure projects under PPP model, disbursement of funds shall begin only after declaration of the Appointed Date or its equivalent, for the project.

74. Further, in respect of the exposures mentioned at paragraph 73 above, the original DCCO documented in the financial closure document may be modified to reflect any change in the 'Appointed Date' by the concession granting authority prior to disbursement of funds by way of a supplementary agreement between a lender and the debtor subject to reassessment of project viability and obtention of sanction from appropriate authorities. A Techno-Economic Viability (TEV) study shall be required for this purpose for all projects where the aggregate exposure of all lenders is ₹100 crores or more.

75. An NBFC shall ensure that disbursal is proportionate to the stages of completion of the project as also to the progress in equity infusion and other sources of finance, agreed as part of financial closure and receipt of remaining applicable clearances. The lender's Independent Engineer (LIE) / Architect shall certify the stages of completion of the project.

76. A project finance account may be classified as NPA during any time before actual DCCO as per record of recovery, in terms of Reserve Bank of India (Non-Banking

Financial Companies – Income Recognition, Asset Classification and Provisioning) Directions, 2025.

D. Miscellaneous

D.1 Creation and Maintenance of Database

77. Project specific data, in electronic and easily accessible format, shall be captured and maintained by lenders on an ongoing basis. A list of the relevant parameters which shall form part of project finance database, at a minimum, is given below.

No	Parameters for Project Finance Database
1	**Debtor Profile** Name of the Project / SPV, PAN, LEI, Name(s) of the Sponsor, Shareholding details, Banking Arrangement, Sector, Sub-Sector.
2	**Original Project Profile** Nature of Project, External Credit Rating, Economic Life, Date of Financial Closure, original Date of Commencement of Commercial Operations, Total project cost excluding IDC, IDC, Capital Structure, D/E, DSCR, Repayment Tenor, Repayment Start Date, Repayment Frequency.
3	**Change in DCCO** Date of Change, reason for change, extended DCCO, revised project debt, revised project total cost, increase in cost, cost overrun, % of total increase financed by equity, % of total increase financed by debt, revised D/E, revised DSCR, revised repayment tenor, revised repayment start date, revised repayment frequency, revised external credit rating.
4	**Credit event other than deferment of original/extended DCCO** Date of Change, reason, total increase in project cost, % of project cost financed through equity, % of project cost financed through debt, revised D/E, revised DSCR, revised repayment tenor, revised repayment start date, revised repayment frequency, revised external credit rating.
5	**Current Specification of the Project**